City of McFarland

City Council Meeting

STAFF REPORT

Agenda Item No. 11.
Section: ADMINISTRATIVE AGENDA
Meeting Date: July 22, 2026

TO: Honorable Mayor and Council Members

FROM: Diego Viramontes, City Manager
Paul Saldaña , Economic Development Manager

SUBJECT: CITY COUNCIL RECEIVE AND FILE ELECTIONS CODE SECTION 9212 REPORT. CITY COUNCIL TAKE MINISTERIAL AND MANDATORY ACTION AS REQUIRED UNDER ELECTION CODE SECTIONS 1405 AND 9215 REGARDING THE DAIRY-SPONSORED INITIATIVE PROCESS

SUMMARY:

Initiative Background

On March 23, 2026 the City Clerk received a Notice of Intent to Circulate a Petition and proposed initiative measure from Jess Visser on behalf of West-Star Dairy dba Sherwood Ranch, Top Funder of Initiative of the initiative measure (Elections Code §107). If approved, the initiative measure would modify the Citizens Initiative, submitted in September of 2025, which prohibit Concentrated Animal Feeding Operations (CAFOs) from operating in the City of McFarland and provide a timeframe for any existing CAFOs to cease operations by allowing West-Star Dairy to continue to operate and be exempt from the previously adopted Initiative.

California Constitution article II, §§ 8-11, provides the basis for the initiative power in California. An initiative is “the power of the electors to propose statutes and amendments to the Constitution and to adopt or reject them.” (Cal. Const art II, §8(a).) The initiative power also extends to cities and counties. “Initiative and referendum powers may be exercised by the electors of each city or county under procedures that the Legislature shall provide.” (Cal Const art II, §11(a).)

In reviewing initiatives, California courts have consistently held that it is “the duty of the courts to jealously guard the right of the people.” (*Martin v. Smith* (1959) 176 Cal. App. 2d 117, 117.) Voter action by initiative is so fundamental that it is described “not as a right granted the people, *but as a power reserved by them*.” (*Associated Home Builders etc., Inc. v City of Livermore* (1976) 18 Cal. 3d 582, 591)(emphasis added.)

As such, the City Council’s duty to adopt a qualified voter-sponsored initiative or place it on the ballot (as discussed in greater detail below), is ministerial and mandatory. (*Native American Sacred Site and Environmental Protection Association et al, v. City of San Juan Capistrano* (2004) 120 Cal. App. 4th 961, 966.)

The statutory procedures for city initiatives are governed by California Election Code sections 9200 to 9226. The initiative process begins with a filing with the City Clerk and a notice of

intent to circulate a petition, together with the text of the initiative. (Election Code § 9202(a).) Here, the petition and Measure were received at the end of March.

Soon after, the City Attorney timely prepared and sent a ballot title and summary of the Measure to the City Clerk, consistent with the requirements of Election Code section 9203. The Election Code provides the proponents six (6) months from the receipt of the ballot title and summary to gather enough signatures to qualify the Measure for the ballot.

On May 19, 2026, the proponents submitted a signed petition to the City Clerk. The petitions were transferred to the Kern County Elections Division ("County") to verify the validity of the petition signatures.

On May 22, 2026, the City received official notification from the County that the petition contains 632 valid signatures, which exceeds the 524 signatures required to qualify the Measure on the ballot. Consistent with the requirements of Elections Code section 9210, the Measure has demonstrated the requisite sufficiency to qualify for the ballot.

On June 10, 2026, the City Council adopted Resolution 2026-28 directing staff to prepare an impartial and informational report analyzing the impact and of the Measure on the City pursuant to Elections Code Section 9212 as follows:

1. Fiscal impact of the initiative.
2. Consistency with the city's general and specific plans, including housing and zoning alignment.
3. Effects on land use and housing, including availability, location, and meeting regional housing needs.
4. Impact on infrastructure funding, such as transportation, schools, parks, and open space.
5. Impact on the community's ability to attract and retain businesses and jobs.
6. Impact on the use of vacant parcels.
7. Impact on agricultural land, open space, traffic, business districts, and revitalization areas.

Section 9212 Report

Pursuant to California Elections Code Section 9212, the City prepared the report to evaluate the potential impacts of the proposed initiative on fiscal conditions, land use, housing, infrastructure, economic development, vacant land, and environmental and community conditions. The purpose of this report is to provide the City Council and the public with an objective, fact-based analysis of how the initiative may affect the City's adopted plans, operations, and long-term development strategy.

The analysis focused on the Sherwood/Highway 99 area surrounding and adjacent to the existing dairy operation, which represents the City's primary growth area for future residential, commercial, and industrial development. The City's General Plan, Housing Element, and infrastructure planning documents assume that this area will transition from agricultural uses to urban development in order to accommodate population growth, job creation, and housing needs and served as the primary guiding documents in the analysis.

The 9212 report concludes that adoption of the initiative would create substantial impacts in several areas, including fiscal conditions, land use consistency, Housing Element implementation, RHNA compliance, infrastructure planning, economic development, vacant land utilization, and environmental quality. The report further concludes that the initiative would maintain intensive agricultural use within an area designated for urban development and would therefore conflict with key components of the City's adopted planning framework. The report identifies impacts arising primarily from the continued operation of an intensive agricultural use within a designated urban growth area and should not be interpreted as a finding that dairy operations are incompatible with agricultural areas or other locations where surrounding land uses are similarly agricultural in nature.

Ministerial Action Before Council

Having exercised the option under Election Code 9215 to order the report per Elections Code 9212 and because the Measure has obtained the required number of signatures and qualified for the ballot, and a Certificate of Sufficiency of Initiative has been received and accepted, the City Council has the following options:

1. Adopt the Measure, without alteration, at this meeting. Adoption of the Ordinance would take effect immediately.
2. Pursuant to Election Code section 1405, submit the Measure to the voters at the General Election scheduled for November 3, 2026.

Environmental Impact
If the City Council adopts the Measure or submits the Measure to the voters, both actions are ministerial decisions and not subject to the California Environmental Quality Act ("CEQA"). "When the electorate undertakes to exercise the reserved legislative power, the city has no discretion and acts as the agent for the electorate. In such event, the enactment of the initiative measure is excluded from CEQA compliance." (*Northwood Homes, Inc. v. Town of Moraga* (1989) 216 Cal.App.3d 1197, 1206.)

FINANCIAL IMPACT:

If the City Council chooses to place the matter on the November 3, 2026, General Election, these costs are anticipated to be withing the range of other City ballot measures and will be funded through the 2026-27 budget. Staff will work with the Kern County Elections Office to confirm final cost estimates.

RECOMMENDATION:

City Council receive and file Section 9212 report.

City Council take **one** of the following options:

1. City Council adopt the measure AUTHORIZATION OF EXISTING AND PROHIBITION OF NEW CONFINED ANIMAL FEEDING OPERATIONS without alteration.

2. City Council adopt Resolution No. 2026-## A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF MCFARLAND, CALIFORNIA, CALLING FOR A GENERAL MUNICIPAL ELECTION TO BE HELD ON TUESDAY, NOVEMBER 3, 2026 AND SUBMITTING TO THE

MCFARLAND ELECTORATE AN INITIATIVE ORDINANCE PROHIBITING CONCENTRATED ANIMAL FEEDING OPERATIONS IN THE CITY OF MCFARLAND

ATTACHMENTS:

1. Section 9212 Report
2. Initaitve Measure to be Submitted to Voters - Concentrated Animal Feeding Operations

RESOLUTION NO. 2026-89

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF MCFARLAND, CALIFORNIA, CALLING FOR A GENERAL MUNICIPAL ELECTION TO BE HELD ON TUESDAY, NOVEMBER 3, 2026 AND SUBMITTING TO THE MCFARLAND ELECTORATE AN INITIATIVE ORDINANCE PROHIBITING CONCENTRATED ANIMAL FEEDING OPERATIONS IN THE CITY OF MCFARLAND

WHEREAS, on May 19, 2026, the proponents of a proposed initiative measure entitled "Authorization of Existing and Prohibition of New Concentrated Animal Feeding Operations" submitted a petition to the City Clerk requesting that the measure be placed before the voters of the City of McFarland; and

WHEREAS, pursuant to California Elections Code section 9210, the City Clerk transmitted the petition to the Kern County Elections Division for examination and verification of the signatures appearing thereon; and

WHEREAS, on May 22, 2026, the Kern County Elections Division certified that the petition contained 632 valid signatures, exceeding the 524 valid signatures required to qualify the initiative petition; and

WHEREAS, the initiative petition has therefore been determined to be sufficient pursuant to California Elections Code section 9210; and

WHEREAS, following certification of the petition's sufficiency, the City Council is authorized pursuant to California Elections Code section 9215 to submit the initiative measure to the qualified voters of the City of McFarland at a municipal election; and

WHEREAS, the City Council has elected to submit the initiative measure to the qualified voters of the City of McFarland at the General Municipal Election to be held on Tuesday, November 3, 2026, which will be consolidated with the statewide election conducted by the Kern County Elections Division ; and

WHEREAS, certain actions are required in connection with the conduct of the election and the

submission of the initiative measure to the voters.

NOW, THEREFORE, BE IT RESOLVED, by the City Council of the City of McFarland that it hereby resolve, declare, determine and order as follows:

SECTION 1. That pursuant to the requirements of the laws of the State of California relating to general law cities, there is called and ordered to be held in the City of McFarland, California, on Tuesday, November 3, 2026, a General Municipal Election for the purpose of submitting the following proposed initiative measure:

CITY OF MCFARLAND INITIATIVE ORDINANCE	
Shall the measure to allow the continued operation of the existing dairy in the City of McFarland be adopted?	Yes
	No

SECTION 2. The full text of the ordinance submitted to the voters is attached as Exhibit 'A' and incorporated by reference.

SECTION 3. The City Council will request that the Kern County Clerk/Registrar of Voters include on the ballots and sample the ballots the Measure enumerated above to be voted on by the voters of the qualified electors of the City of McFarland.

SECTION 4. The City Council will also request that the Kern County Clerk/Registrar of Voters that the full text of the proposed measure and the City Attorney's analysis will be printed in Voter Information Pamphlet mailed to all voters in the City of McFarland.

SECTION 5. Passage of this measure requires a majority (50% plus 1) of votes cast at the election for passage.

SECTION 6. The City Council requests that the Kern County Clerk/Registrar of Voters conduct the election and canvass the returns, and the City consents to reimburse the Registrar of Voters for all costs incurred by said services.

SECTION 7. In all particulars not recited in this resolution, the election shall be held and conducted as provided by law for holding municipal elections.

SECTION 8. Arguments in favor or against the proposed measure are permissible and shall be filed with the Kern County Clerk/Registrar in accordance with Elections Code Section 9282.

SECTION 9. The City Manager and City Clerk are authorized to provide input to the Kern County

Clerk/Registrar in determining a letter designation for this measure.

SECTION 10. The Kern County Clerk/Registrar of Voters shall give the appropriate notices for the election and shall conduct the election pursuant to appropriate provisions of the Election Code.

SECTION 11. The City of McFarland acknowledges the Kern County Clerk/Registrar may conduct the election in accordance with Elections Code 10418.

SECTION 12. The City Clerk shall file a certified copy of this resolution with the Kern County Clerk/Registrar of Voters as required by applicable law. The City Clerk is hereby authorized and directed to work with the Kern County Clerk/Registrar of Voters and take all steps necessary to cause placement of the Measure on the ballot.

SECTION 13. The City Clerk and City Attorney are authorized to make any typographical, clerical, non-substantive corrections to this resolution as may be deemed necessary by the Kern County Clerk/Registrar of Voters.

PASSED AND ADOPTED at a regular meeting of the City Council of the City of McFarland on July 22, 2026 by the following vote:

	Aye	**Nae**	**Abstain**	**Absent**
Saul Ayon				
Ricardo Cano				
Anita Gonzalez				
María T. Pérez				
Martin Gutierrez				

CITY OF MCFARLAND

_____
Saul Ayon, Mayor

ATTEST:

_____
Erika De La Cruz, City Clerk

I, _____, City Clerk of the City of McFarland, California, DO HEREBY CERTIFY that the foregoing resolution is a true and accurate copy of the Resolution passed and adopted by the City Council of the City of McFarland on the date and by the vote indicated herein.

APPROVED AS TO FORM:

_____

Nathan Hodges, City Attorney

Report to the City Council

Impacts of the Proposed Initiative Pursuant to California Elections Code §9212

July 2, 2026

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Study Area

For purposes of this analysis, the study area consists of the Sherwood Avenue / Highway 99 corridor, including the existing dairy operation, the surrounding annexation area, the proposed Innovation Hub and industrial growth area, and adjacent residential, commercial, mixed-use, and vacant lands identified for future development. This area represents the City's principal planned growth corridor and is the focus of substantial housing, economic development, infrastructure, and transportation investments identified in the General Plan, Housing Element, and related planning documents. Because the potential effects of continued dairy operations extend beyond the boundaries of the dairy property itself, the study area encompasses those surrounding lands where land use compatibility, environmental conditions, infrastructure planning, housing feasibility, and economic development opportunities may be affected. The analyses contained in this report evaluate impacts within this broader planning area rather than solely on the dairy site.

Executive Summary

Pursuant to California Elections Code Section 9212, the City prepared this report to evaluate the potential impacts of the proposed initiative on fiscal conditions, land use, housing, infrastructure, economic development, vacant land, and environmental and community conditions. The purpose of this report is to provide the City Council and the public with an objective, fact-based analysis of how the initiative may affect the City's adopted plans, operations, and long-term development strategy.

The analysis focuses on the Study Area, which represent the City's primary growth area for future residential, commercial, and industrial development. The City's General Plan, Housing Element, and infrastructure planning documents assume that this area will transition from agricultural uses to urban development in order to accommodate population growth, job creation, and housing needs.

The analysis finds that the continuation of dairy operations within this designated growth area would result in a series of interrelated impacts.

From a fiscal perspective, the initiative would reduce the City's ability to realize projected growth in population, housing, and employment, which form the basis of the City's future tax base. The continuation of a low-intensity agricultural use within a strategically located industrial area would limit revenue generation, reduce development fee recovery, and increase infrastructure costs by introducing inefficiencies in planned systems.

With respect to General Plan consistency, the initiative would maintain a land use that is inconsistent with the City's adopted land use designation and long-term growth framework. The General Plan anticipates the transition of this area to urban uses, and the continued operation of a dairy within this corridor creates a fundamental incompatibility with planned development patterns, infrastructure coordination, and economic development objectives.

The most significant impacts arise in the area of housing and RHNA compliance. The City's Housing Element demonstrates sufficient capacity on paper; however, that capacity is concentrated in a limited number of sites within the same growth corridor. The presence of an incompatible use introduces practical constraints on housing feasibility, particularly for lower-income units. As a result, sites identified in the Housing Element may not be realistically developable, creating a risk that the City may be unable to maintain compliance with State housing law.

From an infrastructure standpoint, the initiative would reduce the efficiency and effectiveness of planned investments in water, sewer, storm drainage, and transportation systems. These systems are designed for coordinated urban development and are less effective when required to accommodate incompatible uses within the same area.

The initiative would also have a significant impact on economic development and employment. The Study Area is expected to support substantial job growth, including a net increase of approximately 13,000 new jobs associated with industrial and commercial development. The continuation of dairy operations limits the availability of industrial land

and constrains surrounding parcels, reducing the City's ability to attract businesses and create employment opportunities.

The impact on vacant land is similarly significant. Although large portions of the Study Area are designated for development, they have remained undeveloped in part due to existing land use conditions. The continuation of the dairy extends these conditions, creating a de facto development constraint zone that limits the practical usability of vacant parcels and prevents the realization of planned growth.

Finally, the initiative would result in ongoing environmental and community impacts, including continued groundwater quality risk, exposure to flood-related contamination pathways, persistent odor and air quality impacts, and reduced quality of life for existing and future residents. These impacts are cumulative and extend beyond the dairy site to affect surrounding lands and the broader community.

Collectively, the analysis demonstrates that the continuation of dairy operations within a planned growth area creates a chain of impacts affecting the City's fiscal stability, land use framework, housing obligations, infrastructure efficiency, economic development potential, and environmental conditions. These impacts are interconnected and reinforce one another, limiting the City's ability to implement its adopted plans and meet State-mandated requirements. Importantly, the impacts identified in this report arise primarily from the continued operation of an intensive agricultural use within a designated urban growth area and should not be interpreted as a finding that dairy operations are incompatible with agricultural areas or other locations where surrounding land uses are similarly agricultural in nature. Rather, the analysis concludes that the conflict results from the location of the dairy within an area planned for urban development and the resulting incompatibility with the City's long-term growth strategy.

1. FISCAL IMPACT §9212(a)(1)

Pursuant to Elections Code Section 9212(a)(1), the City has evaluated the fiscal impacts associated with the proposed initiative, including both direct costs and long-term effects on revenue, infrastructure planning, and economic growth.

This analysis relies in part on the City's development impact fee study for the Study Area, which establishes the scale of planned growth, infrastructure requirements, and land use assumptions that form the basis of the City's long-term fiscal framework.

1.1 Impact on Planned Growth and Fiscal Base

The City's adopted planning framework anticipates significant growth associated with the annexation area. Based on the development impact fee analysis, the City is projected to grow from approximately 13,870 residents to 33,220 residents, representing an increase of approximately 19,350 people. During the same planning horizon, total dwelling units are projected to increase from approximately 3,480 units to 10,630 units, while employment is projected to increase from approximately 4,162 jobs to 17,195 jobs, representing a net increase of approximately 13,033 jobs.

A substantial portion of this growth, particularly employment growth, is tied to industrial and commercial development within the annexation area. The development plan encompasses approximately 2,100 gross acres, including approximately 1,785 net developable acres, with significant portions designated for industrial development within the M-1 and M-2 zoning categories.

These projections form the basis for the City's anticipated future tax base, including property tax growth, sales tax generation, business activity, and employment-related economic benefits. The continuation of dairy operations within this area constrains the ability to realize this growth by reducing land available for industrial and mixed-use development, limiting opportunities to attract employment-generating uses, and creating compatibility conditions that may discourage private investment

Conclusion: The initiative reduces the City's ability to achieve projected growth in population, housing, and employment, thereby constraining long-term revenue generation.

1.2 Reduced Industrial and Commercial Revenue Potential

The annexation land use plan designates a substantial portion of the study area for industrial, commercial, and mixed-use development. This includes several hundred acres of M-1 and M-2 industrial land as well as commercial and mixed-use designations intended to support employment, services, and economic activity.

These land uses are important to the City's fiscal structure because they generate sales tax revenue, higher assessed property values, business license revenue, and broader economic activity associated with employment and commerce. The continuation of dairy operations within this area produces substantially lower municipal revenue potential and limits the City's ability to convert strategically located land into higher-value economic uses.

The impact extends beyond the dairy parcel itself. As discussed elsewhere in this report, the presence of the dairy constrains surrounding parcels and reduces the effective size and usability of planned industrial and commercial development areas.

Conclusion: The initiative would result in the loss of long-term revenue associated with industrial and commercial development across both the subject site and adjacent lands.

1.3 Increased Infrastructure Costs and Reduced Efficiency

The annexation study identifies substantial infrastructure investments required to support planned development, including significant improvements to both water and wastewater systems. Wastewater infrastructure investments are estimated at approximately $37.5 million, with approximately $30.2 million attributable to the annexation area. In addition, water system improvements include construction of four new municipal wells at an estimated cost of approximately $26 million.

These investments are based on the assumption that the annexation area will develop with a balanced mix of residential, commercial, industrial, and employment-generating land uses. Maintaining dairy operations within this planning framework creates inefficiencies because infrastructure systems must accommodate fundamentally different and often incompatible land use patterns. The result is greater complexity in service delivery, fragmented development patterns, and increased design and operational challenges where agricultural and urban infrastructure systems intersect. In addition, flooding and environmental conditions associated with the dairy may increase long-term stormwater management, drainage, and water quality costs.

Conclusion: The initiative reduces the efficiency of planned infrastructure investments and may increase both capital and long-term operational costs.

1.4 Reduced Return on Public Investment

The development impact fee framework allocates infrastructure costs based on projected growth and development within the annexation area. These projections include approximately 10,223 additional equivalent dwelling units (EDUs), with estimated infrastructure costs of approximately $2,955 per EDU for wastewater infrastructure and $2,543 per EDU for water infrastructure.

These planned infrastructure investments are intended to be offset through development occurring at the scale assumed in the General Plan and annexation planning documents. To the extent that dairy operations constrain development activity, fewer residential units, industrial facilities, and commercial projects may ultimately be constructed. This reduces development fee revenue and requires fixed infrastructure costs to be spread across a smaller development base.

As a result, the City may experience a reduced return on infrastructure investments and increased fiscal pressure over time as cost recovery assumptions become more difficult to achieve.

Conclusion: The initiative constrains the financial assumptions underlying development impact fee recovery and reduces the City's ability to fully recover infrastructure costs.

1.5 Cumulative Fiscal Impact

When considered together, the fiscal impacts of the initiative are both direct and structural. Based on the City's development impact fee framework and projected growth assumptions, the Study Area is expected to generate tens of millions of dollars in infrastructure fee revenue, including approximately $56 million in combined water and wastewater development fees associated with planned buildout.

To the extent that development within this area is constrained, a corresponding reduction in development activity would directly reduce the City's ability to recover these infrastructure investments. Because these systems are designed and funded based on anticipated growth, any reduction in development results in a smaller fee-paying base over which fixed costs must be allocated.

In addition to reduced cost recovery, the initiative would limit the City's ability to realize long-term revenue associated with industrial, commercial, and residential development. Land designated for higher-value uses would remain underutilized, and the associated tax base, particularly from employment-generating uses, would not be fully realized.

Taken together, these impacts result in:

- Reduced industrial and commercial land availability and associated revenue potential
- Loss of projected employment-related economic activity
- Increased infrastructure costs and reduced efficiency in system design and operation
- Lower development fee revenue and diminished cost recovery
- A long-term reduction in the City's revenue-generating capacity

Summary Finding

Based on the City's adopted growth projections and infrastructure planning framework, the proposed initiative is expected to have a significant negative fiscal impact. The continuation of dairy operations within the annexation growth area reduces the amount of land available for high-value development, limits the City's ability to realize projected employment and population growth, and reduces the fiscal assumptions supporting major public infrastructure investments.

To the extent development within the area is constrained, the City's ability to recover infrastructure costs, supported by development impact fees associated with planned buildout, estimated in the tens of millions of dollars, would be correspondingly reduced. Over time, these effects would result in reduced revenue, increased costs, and diminished fiscal sustainability for the City.

2. GENERAL PLAN AND STATE LAW CONSISTENCY (§9212(a)(2))

Pursuant to Elections Code Section 9212(a)(2), the City has evaluated the proposed initiative's consistency with the City's General Plan, including the internal consistency of its elements, and applicable State laws governing land use, housing, and development. The General Plan serves as the City's constitution for land use and development, establishing a long-term framework for growth, infrastructure, economic development, and community form.

Under California law, the General Plan is not advisory. Government Code Section 65860 requires that zoning and land use decisions be consistent with the General Plan, and all City actions, including voter initiatives, must be evaluated against this framework. Accordingly, the analysis below evaluates whether the continuation of dairy operations within a designated growth area is consistent with the City's adopted planning policies and long-term land use strategy.

2.1 Land Use Element Consistency: Industrial and Urban Development Designation

The project site is located within an area designated for industrial and future urban development under the City's General Plan. The Land Use Element establishes a long-term pattern of development in which certain areas transition from agricultural uses to higher-intensity urban uses, including industrial, commercial, and residential development.

The continuation of dairy operations at this location represents a direct conflict with that framework. The General Plan does not contemplate the indefinite continuation of intensive agricultural uses within areas specifically designated to support future employment-generating and urban land uses. Rather, it anticipates a transition that allows the City to accommodate growth in an orderly and economically productive manner.

This inconsistency is not simply conceptual. The industrial designation reflects the City's intent to reserve strategically located land, particularly land with access to Highway 99, for uses that support job creation, economic development, and tax base expansion.

Conclusion: The initiative is inconsistent with the Land Use Element because it maintains a use that conflicts with the City's adopted industrial land use designation and long-term urban development strategy.

2.2 Urban Form and Growth Strategy: Disruption of Planned Development Pattern

The General Plan promotes a pattern of compact, contiguous urban development, supported by efficient infrastructure and coordinated land use planning. Growth is intended to occur in a manner that avoids fragmentation and maximizes the efficient extension of public services.

The continued operation of a dairy within this designated growth area disrupts that pattern by creating a physical and functional barrier to development. Rather than allowing for coordinated expansion of industrial, commercial, and residential uses, the dairy introduces a large, incompatible use in the middle of a planned growth corridor.

This results in:

- Fragmentation of developable land
- Inefficiencies in infrastructure planning and service delivery
- Constraints on adjacent parcel development

The presence of a long-term incompatible use constrains the City's ability to implement the growth strategy evaluated in its General Plan and associated environmental documents.

Conclusion: The initiative is inconsistent with the General Plan's growth strategy because it creates discontinuous development patterns and limits the City's ability to achieve planned urban form.

2.3 Environmental Justice: Concentration of Environmental Burdens

The General Plan includes policies addressing environmental justice, which require the City to reduce exposure to environmental hazards and avoid concentrating pollution-generating uses near residential areas, particularly in disadvantaged communities.

Dairy operations generate odors, particulate emissions, ammonia, and other potential environmental effects. Where such uses are located near existing or planned residential areas, they may impose localized environmental burdens that are inconsistent with these policies.

The continuation of dairy operations within a planned growth area, particularly one expected to accommodate future housing, runs counter to the General Plan's objective of reducing environmental burdens and improving quality of life for residents.

Conclusion: The initiative conflicts with Environmental Justice policies that require reduction of environmental burdens and avoidance of incompatible uses near residential areas.

2.4 Air Quality and Public Health Consistency

The General Plan includes policies to reduce exposure to harmful air pollutants and protect public health. Dairy operations are recognized sources of emissions, including ammonia, particulate matter precursors, and dust, which can affect nearby sensitive land uses.

Where residential development is planned or expected, these emissions create compatibility concerns that must either be mitigated or avoided through land use planning. The continuation of the dairy in a growth area intended for urban uses introduces conditions that are inconsistent with policies designed to minimize exposure to air contaminants.

Conclusion: The initiative is inconsistent with General Plan policies related to air quality and public health by maintaining a use that generates emissions in proximity to planned sensitive receptors.

2.5 Land Use Compatibility and Buffering Requirements

The General Plan requires that incompatible land uses be appropriately separated or buffered to protect public health and safety. This principle is widely recognized in land use

planning and reflected in regional practices, including various countywide dairy elements, which establishes minimum separation distances between dairies and residential or urban uses.

While those County standards do not govern within the City, they provide relevant context demonstrating that meaningful separation is necessary to maintain compatibility between dairy operations and residential development. The absence of such separation in this case creates a condition where either:

- Development is constrained, or
- The dairy becomes incompatible as the area urbanizes

In effect, the initiative creates a land use condition that cannot be fully reconciled through buffering or mitigation.

Conclusion: The initiative creates an irreconcilable compatibility conflict contrary to General Plan policies requiring separation and buffering between incompatible uses.

2.6 Circulation and Transportation Consistency

The General Plan's Circulation Element promotes a transportation system that supports urban development, including pedestrian safety, local circulation, and efficient movement of goods and services.

The operational characteristics of the dairy, including truck traffic, equipment movement, and agricultural operations, are not aligned with the type of circulation system envisioned for a planned urban and industrial growth area. In addition, the site's proximity to planned improvements, including interchange and overpass infrastructure, further underscores its role in the City's long-term transportation network.

Maintaining a dairy operation in this location introduces conflicts with the intended use and function of this corridor.

Conclusion: The initiative is inconsistent with the Circulation Element because it maintains a land use that conflicts with the City's planned transportation system and infrastructure improvements.

2.7 Infrastructure and Public Services Consistency

The General Plan assumes that urban infrastructure, including water, sewer, and storm drainage systems, will be extended and coordinated to support planned growth areas. Dairy operations rely on fundamentally different systems, including on-site waste management and storage, which are not compatible with urban infrastructure planning.

The continued presence of a dairy in a growth area complicates the extension, design, and operation of public infrastructure, particularly in areas affected by flooding or environmental constraints.

Conclusion: The initiative is inconsistent with the General Plan's infrastructure policies because it impedes coordinated infrastructure planning and efficient service delivery.

2.8 Economic Development and Industrial Land Use Strategy

The General Plan places a strong emphasis on economic development, job creation, and the preservation of industrially designated land for employment-generating uses. The subject property is located in a highly strategic area with proximity to Highway 99, making it particularly suitable for industrial and commercial development.

The continuation of dairy operations represents an underutilization of this land and limits the City's ability to attract businesses and generate employment opportunities.

Conclusion: The initiative is inconsistent with the City's economic development policies because it prevents the use of designated industrial land for job-generating activities.

2.9 Long-Term Planning Intent and Agricultural Transition

The General Plan distinguishes between agricultural lands intended for long-term preservation and those identified for future urbanization. The subject property is located within an area designated for transition to urban uses.

The continuation of the dairy extends an agricultural use beyond the timeframe and location anticipated by the City's planning framework, effectively delaying or preventing the intended transition.

Conclusion: The initiative is inconsistent with the General Plan's long-term planning intent by maintaining an agricultural use in an area designated for urban development.

Summary Finding

Based on the analysis above, the proposed initiative would result in multiple and substantial inconsistencies with the City of McFarland General Plan, including conflicts with land use designation, growth strategy, environmental justice policies, air quality standards, infrastructure planning, transportation systems, and economic development objectives.

These inconsistencies are not isolated. They are cumulative and mutually reinforcing, affecting the City's ability to implement its adopted plans and policies in a coordinated and effective manner.

Accordingly, the initiative is inconsistent with the City's General Plan framework and creates significant challenges for the City's ability to carry out its long-term land use, economic, and infrastructure objectives in compliance with State law.

3. LAND USE, HOUSING, AND RHNA IMPACTS (§9212(a)(3))

Pursuant to Elections Code Section 9212(a)(3), the City has evaluated the proposed initiative's effect on the use of land, the availability and location of housing, and the City's ability to meet its Regional Housing Needs Allocation ("RHNA"). Elections Code Section 9212 expressly authorizes this form of analysis as part of a report to the legislative body concerning the effects of a proposed initiative measure.

This analysis focuses on the area on the east side of the city, south of Sherwood Avenue, and adjacent to State Route 99, because that area is one of the principal locations identified in the City's Housing Element for future residential growth, including lower-income, moderate-income, and above moderate-income housing. As shown in the City's RHNA and housing sites analysis, the City's 2023–2031 RHNA obligation totals 244 units, consisting of 82 lower-income units, 45 moderate-income units, and 117 above moderate-income units, and the City's adopted inventory demonstrates a total potential capacity of 802 units, or approximately 229 percent of the City's RHNA requirement. Within that total, the City identifies a lower-income capacity of 145 units on vacant mixed-use parcels, moderate-income capacity of 48 units on vacant mixed-use parcels plus 128 units in the Milicic Study Area, and above moderate-income capacity of 30 units on vacant mixed-use parcels, 17 units on downtown vacant infill parcels, and 414 units in the Milicic Study Area.

The significance of these figures is not merely that the City shows surplus capacity on paper. Rather, the City's ability to maintain compliance depends on the continued feasibility of a relatively concentrated group of sites located within the Study Area and in the Milicic Study Area. If those sites are materially constrained by incompatible surrounding land uses, then the City's practical ability to maintain the housing inventory assumed in the Housing Element is diminished, even if the land use designations themselves remain unchanged.

3.1 Reliance on Identified Housing Element Sites to Meet RHNA

The City's Housing Element establishes a clear policy framework requiring the City to maintain an adequate housing supply across all income categories. Goal 1 calls for "an adequate supply of affordable housing for all income levels," and Policy Pol-1.1 requires the City to designate an adequate number of housing sites, for both rental and ownership opportunities, sufficient to accommodate the City's share of regional housing needs for each income classification. This requirement is carried forward in Program Prg-1.1, which requires the City to ensure annually that sufficient sites are maintained throughout the planning period to accommodate RHNA and to avoid triggering the No Net Loss provisions of State law.

The City's Housing Element does not rely on a broad, dispersive supply of interchangeable parcels. Instead, it relies on a targeted set of opportunity areas. The housing capacity mapped in the Housing Element shows that the City's lower-income capacity is concentrated in vacant large mixed-use parcels in the Study Area, where the City identifies 145 lower-income units. Moderate-income capacity is similarly concentrated in a limited number of sites, including 20 moderate-income units on downtown vacant infill parcels, 48 moderate-income units on vacant mixed-use parcels, and 128 moderate-income units in the Milicic Study Area. Above moderate-income capacity depends heavily on the Milicic Study

Area (414 units), supplemented by 30 above moderate-income units on vacant mixed-use parcels and 17 units on downtown infill parcels.

This concentration matters. The City's numerical surplus is only meaningful if the sites that create that surplus remain available, suitable, and realistically developable over the planning period. Where the City's housing strategy depends on a small group of large sites in a single growth corridor, land use conditions affecting that corridor necessarily have an outsized impact on the City's Housing Element implementation. In other words, the issue presented by the initiative is not whether the City can point to a theoretical number of units in a table; it is whether the City can continue to rely on the sites that generate those units as realistic components of its housing inventory.

The continuation of dairy operations in or immediately adjacent to this area directly affects that question. The City's Housing Element assumes that these mixed-use, infill, and annexation sites can be brought forward for residential development. Where an ongoing dairy operation creates operational, environmental, and compatibility constraints in the same area, the factual basis for that assumption is materially weakened. That result conflicts directly with Policy Pol-1.1 and Program Prg-1.1, both of which depend on the City maintaining a viable and defensible site inventory throughout the planning period.

Conclusion: The initiative affects a concentrated group of Housing Element sites that are fundamental to the City's RHNA compliance strategy. By introducing conditions that reduce the feasibility of these sites, the initiative weakens the assumptions underlying the City's Housing Element and creates uncertainty regarding the continued availability of sufficient and realistic housing opportunities necessary to meet State housing requirements.

3.2 Land Use Compatibility and the Functional Loss of Housing Capacity

The Housing Element also requires that housing sites be located in places where residential development can occur in a manner that is practical, livable, and compatible with surrounding uses. Policy Pol-1.10 directs the City to designate locations where adequate facilities are available near services and amenities for the development of multifamily dwellings if such development is consistent with neighborhood character. Policy Pol-1.7 requires the dispersal of low-income housing throughout new residential projects to the extent practical, and Policy Pol-1.8 requires subsidized and assisted low-income housing to be distributed throughout the city rather than concentrated in particular areas or neighborhoods.

The Study Area is one of the principal areas in which the City seeks to implement these policies. It is precisely the type of area that can support mixed-use and multifamily development because of its access, visibility, and relationship to future growth. However, the continuation of dairy operations within this same area introduces a type of land use conflict that directly undermines the Housing Element's assumptions.

The City does not have its own standalone dairy element, Nevertheless, typical dairy elements provide relevant regional planning context because it illustrates how land use incompatibility between dairies and sensitive uses is commonly addressed in the region. For example, Dairy Elements often includes a minimum one-quarter-mile separation between dairies and residentially zoned land, a recommended one-half-mile separation

between dairies and urban communities, the use of Dairy Concentration Areas in appropriate unincorporated locations, and restrictions on new dairy development near city limits and areas planned for urban expansion. Those standards demonstrate that regional planning practice recognizes the need for meaningful buffer distances between dairy operations and residential or urban development in order to reduce odor, air quality, nuisance, and compatibility conflicts.

The housing sites identified by the City's Housing Element in the Study Area are exactly the kind of urbanizing and mixed-use areas that regional dairy planning standards are designed to protect from conflict. Where the County seeks to avoid these conflicts through distance and siting controls, the proposed initiative would instead maintain an existing dairy use in immediate proximity to planned residential growth areas. The effect is not just a planning inconsistency in the abstract. It is a practical impediment to housing development. Even if a site remains designated for mixed-use or residential development, its utility as part of the City's Housing Element inventory is materially reduced if adjacent conditions make housing more difficult to entitle, finance, market, or occupy.

For this reason, the continuation of dairy operations should be understood as causing a functional loss of housing capacity. Units may remain counted in the City's inventory, but they become less likely to actually materialize during the planning period. That is especially true for the City's principal lower-income housing opportunity in the mixed-use parcels near Highway 99, where the Housing Element relies on 145 lower-income units. Those sites constitute the City's principal lower-income surplus. If their development feasibility is compromised, the City's lower-income RHNA strategy is affected first and most severely.

Conclusion: The continuation of dairy operations within the Study Areagrowth area creates land use compatibility constraints that reduce the practical development potential of nearby housing sites. As a result, housing units identified in the City's Housing Element may become less likely to materialize, reducing the effectiveness of the City's housing strategy and constraining residential growth within a key opportunity area.

3.3 Increased Development Costs and Reduced Housing Feasibility

The Housing Element not only requires the City to identify sites, it also requires the City to reduce barriers to housing development. Policy Pol-1.2 directs the City to adopt policies, regulations, and procedures that do not add unnecessarily to the cost of housing while still attaining other important City objectives. Similarly, Program Prg-1.3 calls for zoning updates to facilitate low- and moderate-income housing and to increase density and mixed-use development opportunities, while Program Prg-1.10 seeks to "unshackle and speed up housing production" by streamlining regulatory requirements, reducing permit delays, and reducing or deferring fees that delay residential development.

The continued presence of a dairy adjacent to planned housing areas operates in direct opposition to these objectives. Where a housing site is located in proximity to a use widely recognized as generating odor, emissions, dust, and nuisance effects, the burden of resolving that incompatibility falls on the housing project rather than on the land use framework. Projects may require additional environmental review, design modifications,

buffering, and other mitigation measures. These added requirements increase the cost of development and lengthen the entitlement process.

This dynamic is especially significant for lower-income and moderate-income housing. Affordable housing development is typically more sensitive to delay and cost escalation than market-rate development because financing is layered, subsidy resources are competitive, and project feasibility margins are comparatively thin. A site that is burdened by additional incompatibility-related costs is materially less likely to support affordable housing, even if the site remains nominally available in the City's inventory.

This effect is reinforced by the regional planning logic reflected in the reviewed dairy elements. As noted above, separation standards exist precisely because they avoid the need to solve these incompatibilities project by project. Where adequate separation is not maintained, the cost and complexity of mitigation shifts to each incremental development proposal. In this case, the initiative would perpetuate that condition in one of the City's most important housing growth areas.

The consequence is a direct conflict with Policy Pol-1.2, Program Prg-1.3, and Program Prg-1.10. Rather than reducing unnecessary housing costs and facilitating the development of mixed-use and affordable housing, the initiative would impose additional external constraints that make housing harder and more expensive to build.

Conclusion *The initiative introduces additional constraints that increase development costs, lengthen entitlement timelines, and reduce housing feasibility, particularly for affordable and workforce housing projects. These impacts are inconsistent with Housing Element policies and programs intended to reduce barriers to housing production and support the timely development of identified housing sites.*

3.4 Effects on Housing Distribution, Lower-Income Housing, and Citywide Housing Strategy

The Housing Element repeatedly emphasizes the importance of distributing housing opportunities, particularly lower-income housing, throughout the city rather than concentrating them in isolated locations. Policy Pol-1.7 seeks dispersal of low-income housing throughout new residential projects, and Policy Pol-1.8 directs that low-income housing produced through subsidies, incentives, or regulatory programs be distributed throughout the city rather than concentrated in specific neighborhoods. These policies reflect not only fair housing objectives but also the practical recognition that the City must maintain a broad enough range of feasible sites to accommodate RHNA over time.

The initiative threatens that strategy by constraining one of the City's principal lower-income opportunity areas. The Housing Element relies on the Study Area mixed-use parcels for 145 lower-income units, which is a substantial share of the City's lower-income strategy. If these sites become less feasible because of persistent incompatibility with surrounding dairy operations, the City does not simply lose a set of abstract units. It loses the ability to distribute lower-income housing across a strategically important part of the city. That, in turn, risks forcing affordable housing into a narrower range of sites, contrary to the dispersal policies the Housing Element seeks to implement.

The initiative also affects the City's broader citywide strategy by constraining the relationship between downtown infill, mixed-use development, and annexation planning. The Housing Element shows 20 moderate-income units and 17 above moderate-income units on downtown vacant infill parcels, with major additional capacity in the Milicic Study Area and the mixed-use parcels south of Sherwood. These are not isolated buckets of capacity; they are part of an integrated land use and housing strategy. If the Study Area is materially constrained, the City's ability to implement that integrated strategy is weakened. Sites that were intended to complement each other in meeting RHNA may no longer do so effectively. That result is inconsistent with the Housing Element's overall direction under Goal 1, as well as Policies Pol-1.7, Pol-1.8, and Pol-1.10.

Conclusion: By constraining one of the City's primary lower-income housing opportunity areas, the initiative limits the City's ability to distribute housing opportunities throughout the community and implement its broader housing strategy. These impacts disproportionately affect lower-income housing and reduce the flexibility of the City's Housing Element site inventory.

3.5 Relationship to Infrastructure, Services, and Timing of Housing Delivery

The City's housing strategy also assumes that residential growth can be supported by public facilities and services in a timely manner. Program Prg-1.7 requires the City to modify the zoning code to establish written procedures granting priority water and sewer service to developments with units affordable to lower-income households, and Program Prg-1.8 calls for the City to pursue funding to expand sewer capacity by 2030. These programs reflect the simple proposition that housing production depends not only on land designation, but on the coordinated availability of infrastructure and services.

The Study Area is one of the areas where these infrastructure investments are intended to support growth. Maintaining a dairy operation in this area interferes with that coordinated planning framework. Where residential and mixed-use growth is expected to occur alongside future infrastructure improvements, the presence of an operational dairy creates an additional layer of land use conflict that complicates site planning, investment timing, and service coordination.

More importantly, because the City's lower-income and mixed-use housing opportunity is concentrated in this area, any delay in bringing these sites forward affects the City's timing for RHNA implementation. A site that remains technically designated for housing but is delayed or deterred by surrounding incompatibility does not serve the same function as a site that can move forward under the assumptions reflected in the Housing Element. That disconnect is particularly significant given Program Prg-1.1, which requires annual monitoring of sufficient sites and services to avoid triggering No Net Loss requirements.

In this regard, the initiative creates not only a land use problem but also an implementation problem. It limits the City's ability to align sites, services, and timing in the manner contemplated by Programs Prg-1.1, Prg-1.7, and Prg-1.8.

Conclusion: The initiative complicates the coordinated delivery of housing, infrastructure, and public services within a designated growth area. By introducing additional development constraints, it limits the City's ability to align investment, infrastructure expansion, and

housing production in the manner contemplated by the Housing Element and related implementation programs.

3.6 RHNA Compliance Risk and Exposure Under State Housing Law

The cumulative effect of the foregoing impacts is a material risk to the City's compliance with State housing law. Program Prg-1.1 requires the City to ensure annually that sufficient sites are maintained throughout the planning period to accommodate RHNA and to avoid triggering No Net Loss provisions. That obligation is not satisfied merely by preserving numbers in a spreadsheet. It requires that the City continue to maintain a realistic and defensible inventory of feasible sites.

If the initiative materially constrains the mixed-use, infill, and annexation sites on which the City relies, particularly the 145 low/mod-income units in the Study Area, then the City's Housing Element inventory may no longer function as assumed. The risk is especially important because lower-income obligations are generally the most difficult to satisfy and the most vulnerable to feasibility problems. In that situation, the City may be required to identify replacement sites, rezone additional properties, or otherwise amend its Housing Element implementation strategy in order to maintain compliance.

A failure to do so could expose the City to a finding of non-compliance by the California Department of Housing and Community Development. If the City falls out of compliance, State law may substantially reduce local control over housing approvals. This includes exposure to the Builder's Remedy under Government Code section 65589.5, under which qualifying housing projects may proceed notwithstanding local zoning constraints, and the City's ability to deny or materially reduce such projects is sharply curtailed.

This legal exposure is not speculative in the abstract. The City's RHNA strategy is concentrated in a relatively small number of opportunity areas. If those areas are materially impaired, the path from site infeasibility to compliance risk is direct.

Conclusion: The initiative creates a material risk that the City's identified housing sites may no longer function as assumed in the Housing Element, thereby increasing the potential for RHNA compliance challenges. If sufficient replacement capacity cannot be identified, the City may face additional obligations under State housing law and reduced discretion over future housing approvals.

3.7 Overall Effect on Land Use, Housing Availability, and RHNA

When considered as a whole, the continuation of dairy operations in the Study Area growth area would have a significant and adverse effect on the use of land, the availability and location of housing, and the City's ability to meet its RHNA obligations. The City's Housing Element demonstrates substantial nominal capacity, but that capacity is geographically concentrated and heavily dependent on the feasibility of mixed-use, infill, and annexation sites located in this corridor. By maintaining a use that regional planning practice recognizes as incompatible with nearby urban residential growth, the initiative materially reduces the reliability of those sites.

The result is a cumulative impact: the City's lower-income housing capacity becomes less certain, development costs are increased, timing of implementation is disrupted, infrastructure coordination is complicated, and the City's annual obligation to maintain sufficient RHNA capacity becomes more difficult to satisfy. In that respect, the initiative conflicts with Goal 1, Policies Pol-1.1, Pol-1.2, Pol-1.7, Pol-1.8, and Pol-1.10, and Programs Prg-1.1, Prg-1.3, Prg-1.7, Prg-1.8, and Prg-1.10.

Conclusion: When considered collectively, the impacts identified above reduce the feasibility of key Housing Element sites, increase housing development constraints, and complicate implementation of the City's adopted housing strategy. As a result, the initiative is expected to adversely affect housing availability and create additional challenges for the City in maintaining compliance with its RHNA obligations and broader housing objectives.

Summary Finding

The proposed initiative would have a significant and adverse impact on land use, housing availability, and the City's ability to meet its regional housing needs. Although the City's Housing Element identifies a total potential capacity of 802 units, that surplus is dependent on the continued feasibility of a limited number of sites concentrated in the Study Area and related growth areas. By maintaining dairy operations in immediate proximity to those sites, the initiative limits the practical feasibility of residential development, particularly lower-income housing, increases the cost and uncertainty of housing production, and creates a substantial risk that the City will be unable to rely on its adopted site inventory to maintain RHNA compliance. It therefore materially impairs the City's implementation of its Housing Element and heightens exposure to adverse consequences under State housing law.

4. INFRASTRUCTURE AND PUBLIC SERVICES IMPACT (§9212(a)(4))

Pursuant to Elections Code Section 9212(a)(4), the City has evaluated the proposed initiative's impact on the funding, planning, and provision of infrastructure, including transportation, utilities, drainage systems, and public facilities.

This analysis is based on the City's General Plan and the annexation development impact fee study, which together establish the scale, location, and infrastructure requirements necessary to support planned growth. These documents assume the orderly conversion of land within the Study Area to urban uses supported by coordinated infrastructure systems.

4.1 Planned Infrastructure Investment in the Growth Area

The annexation study identifies substantial infrastructure investments necessary to support the City's planned growth, including major upgrades to both water and wastewater systems. These improvements are intended to accommodate significant increases in population, housing, employment, and economic activity associated with the City's long-term growth strategy.

The study estimates approximately $37.5 million in wastewater infrastructure improvements, of which approximately $30.2 million is attributable to the Study Area. In addition, the City anticipates construction of four new municipal water wells at an estimated cost of approximately $26 million. These investments are based on development assumptions that anticipate a balanced pattern of residential, industrial, commercial, and mixed-use development throughout the Study Area.

The projected growth in population, housing, and employment serves as the foundation for the City's infrastructure planning program and associated capital investments. The efficient delivery of these systems depends upon contiguous, coordinated, and compatible development patterns. The infrastructure planning framework assumes that land designated for urban uses will develop in accordance with the General Plan and that utility investments will serve those anticipated uses over time.

Conclusion: The City's planned infrastructure investments are predicated upon the urban development assumptions contained in the General Plan and annexation planning documents. To the extent development patterns differ from those assumptions, the efficiency and effectiveness of these planned improvements may be reduced.

4.2 Incompatibility Between Dairy Operations and Urban Infrastructure Systems

The continuation of dairy operations within a planned growth area introduces a fundamental mismatch between agricultural infrastructure systems and the urban infrastructure systems contemplated by the General Plan.

Urban development relies upon centralized sewer collection and treatment systems, regulated stormwater facilities, and coordinated water distribution networks designed to

serve residential, commercial, and industrial uses in a comprehensive and integrated manner. Dairy operations, by contrast, depend upon on-site manure management systems, wastewater storage and handling facilities, and land application practices that are substantially different from the utility systems associated with urban development.

As a result, the continued presence of a dairy operation within an area planned for urban growth requires infrastructure planning to account for two fundamentally different and often incompatible land use systems. This condition can complicate infrastructure design, increase operational constraints, and reduce the effectiveness of planning assumptions contained within the General Plan and the City's infrastructure financing framework. It also limits the ability to fully integrate utility systems, public facilities, and long-term growth planning in the manner contemplated by the City's adopted planning documents.

Conclusion: The initiative creates a structural mismatch between agricultural operations and planned urban infrastructure systems, reducing planning efficiency and complicating implementation of infrastructure improvements within the growth area.

4.3 Impacts on Drainage, Flood Control, and Water Quality

The project area is subject to flooding conditions, and the continued operation of a dairy introduces additional considerations related to drainage, flood control, and water quality management.

As discussed elsewhere in this report, flood events have the potential to transport agricultural waste materials beyond the boundaries of the site, while ongoing groundwater monitoring has identified regional concerns regarding nitrate loading and water quality. At the same time, urban drainage and stormwater systems are generally designed to manage urban runoff rather than the operational characteristics associated with intensive agricultural uses.

The interaction between continued dairy operations and planned urban development creates additional management challenges for the City and other regulatory agencies. As a result, additional drainage infrastructure, monitoring programs, and water quality management measures may be necessary to address the interaction between urban development and continued agricultural operations within the same growth area.

In addition, the presence of flooding concerns within the project area increases the importance of maintaining effective drainage and water quality systems capable of protecting both existing and future development. These factors contribute to higher capital costs, increased long-term maintenance obligations, and greater regulatory complexity associated with future growth.

Conclusion: The initiative is expected to increase the complexity of drainage, flood control, and water quality management within the growth area and may contribute to additional infrastructure and operational requirements over time.

4.4 Constraints on Transportation Infrastructure and Corridor Development

The Study Area represents one of the City's most important transportation and economic development corridors. Planned transportation improvements, including roadway, interchange, and circulation enhancements, are intended to support future industrial, commercial, residential, and employment-generating uses consistent with the City's long-term growth strategy.

The continuation of dairy operations within this corridor introduces operational characteristics that differ substantially from the urban transportation network envisioned by the General Plan. Agricultural vehicle movements, site access requirements, and land use compatibility considerations can affect circulation planning and the efficient utilization of transportation investments.

More importantly, the continued presence of an incompatible use may constrain adjacent development opportunities, limit site access and circulation options, and reduce the overall effectiveness of transportation investments intended to serve future urban development. As development pressure increases within the corridor, the incompatibility between agricultural operations and planned urban transportation infrastructure is likely to become more pronounced.

Conclusion: The initiative limits the City's ability to fully realize the benefits of planned transportation improvements and may constrain the long-term function of a strategically important growth corridor.

4.5 Reduced Efficiency and Cost Recovery for Infrastructure Investments

The infrastructure investments identified in the annexation study were planned based on substantial future growth in housing, employment, industrial activity, and commercial development. As discussed in Section 1, these improvements are intended to be funded in part through development impact fees and related growth-generated revenues.

The financial viability of this infrastructure framework depends upon development occurring at or near the levels anticipated in the City's planning documents. If development is constrained by incompatible land uses, fewer residential units, commercial projects, and employment-generating developments may be constructed than originally anticipated. This reduces development fee revenues and requires fixed infrastructure costs to be recovered from a smaller development base.

Over time, this reduces cost recovery, increases fiscal pressure on infrastructure systems, and limits the City's ability to fund future capital improvements through growth-related revenues. The result is a less efficient infrastructure financing framework and a diminished return on public investments intended to support long-term growth.

Conclusion: The initiative reduces the financial efficiency of planned infrastructure investments by constraining the development activity upon which long-term cost recovery assumptions are based.

4.6 Cumulative Infrastructure Impact

When considered collectively, the infrastructure impacts associated with the continuation of dairy operations extend beyond any individual utility system or public facility. The initiative affects the planning assumptions that support water, wastewater, drainage, transportation, and development financing infrastructure throughout the Study Area.

These impacts are cumulative in nature because they reduce infrastructure efficiency, complicate system planning, increase operational constraints, and limit the City's ability to align infrastructure investments with anticipated urban development. Collectively, these impacts increase the cost and complexity of providing water, wastewater, drainage, and transportation infrastructure, reduce the efficiency of system planning and operation, constrain the performance of key transportation corridors, and diminish the City's ability to recover infrastructure investments through future development.

Conclusion: Taken together, the impacts identified above create additional challenges for the planning, funding, and delivery of infrastructure necessary to support the City's long-term growth strategy.

Summary Finding

The proposed initiative is expected to have a substantial impact on infrastructure planning, funding, and service delivery within the City. By maintaining a land use that is incompatible with planned urban infrastructure systems, the initiative increases costs, reduces efficiency, and limits the City's ability to fully implement infrastructure improvements necessary to support growth. These impacts are particularly significant within the Study Area, where major infrastructure investments are closely tied to the City's long-term development strategy.

5. ECONOMIC DEVELOPMENT AND EMPLOYMENT (§9212(a)(5))

Pursuant to Elections Code Section 9212(a)(5), the City has evaluated the proposed initiative's impact on the community's ability to attract and retain business and employment. This analysis considers both the City's adopted economic development strategy, as reflected in the General Plan and Housing Element, and the projected growth associated with the Study Area.

The Study Area represents the City's primary opportunity to significantly expand its employment base, industrial activity, and overall economic output. The continuation of dairy operations within this area directly affects that opportunity by constraining the availability and usability of land designated for employment-generating uses.

5.1 Planned Employment Growth and Economic Strategy

The City's long-term planning framework anticipates substantial employment growth as part of its transition from a predominantly agricultural economy to a more diversified economic base. Based on the annexation development analysis, total employment is projected to increase from approximately 4,162 jobs to 17,195 jobs, representing a net increase of approximately 13,033 jobs associated with planned development within the Study Area.

This projected growth is closely tied to the development of industrial land, commercial and mixed-use areas, and employment corridors located along Highway 99. These areas have been strategically designated to attract new businesses, create local employment opportunities, and expand the City's economic base. The General Plan's economic development strategy therefore depends upon the timely conversion of these lands to productive employment-generating uses.

The projected growth is not limited to a single industry or sector. Rather, it reflects the City's broader objective of creating a more diverse economic structure capable of supporting long-term job creation, increased household income, and enhanced economic opportunity for residents.

Conclusion: The Study Area is a critical component of the City's long-term economic development strategy and is essential to achieving projected employment growth and economic diversification goals.

5.2 Loss of Industrial Land and Employment Capacity

The continuation of dairy operations within the Study Area directly reduces the amount of land available for industrial and employment-generating uses. The annexation plan identifies hundreds of acres designated for industrial development in a strategic location adjacent to Highway 99, where access, visibility, and regional connectivity make the area particularly attractive for business investment.

The impact of maintaining the dairy within this framework is twofold. First, the land occupied by the dairy is effectively removed from the inventory of developable industrial land. Second, and more significantly, the presence of the dairy creates compatibility

constraints that extend beyond the boundaries of the site itself, reducing the effective development potential of adjacent industrial and commercial parcels.

These compatibility concerns can reduce site marketability, constrain site planning and operational flexibility, and increase uncertainty for prospective businesses and investors. Because industrial users often require large, contiguous, and compatible development sites, even partial constraints on surrounding parcels can have a disproportionate effect on overall development feasibility.

Conclusion: The initiative results in both a direct and indirect reduction of industrial land capacity, limiting the City's ability to accommodate future employment-generating development and realize planned economic growth.

5.3 Impacts on Business Attraction and Investment

The City's economic development strategy relies heavily on attracting new businesses to strategically located growth areas. Sites near major transportation corridors, particularly Highway 99, represent some of the City's most valuable economic development assets due to their accessibility, visibility, and ability to support industrial and commercial operations.

Business location decisions are highly sensitive to land use compatibility and investment certainty. Companies seeking new locations generally favor sites that provide operational flexibility, predictable entitlement processes, and minimal potential for land use conflicts.

The continuation of dairy operations introduces conditions that are widely recognized as creating compatibility concerns for surrounding development, including odor, operational constraints, and uncertainty regarding future land use transitions. These conditions may discourage prospective employers from locating within the affected area, cause businesses to consider alternative jurisdictions, or require additional incentives to offset perceived development risks.

Over time, these factors reduce the City's competitive position in attracting investment and limit its ability to capitalize on the strategic advantages offered by the Highway 99 corridor.

Conclusion: The initiative reduces the attractiveness of key growth areas for business investment and diminishes the City's ability to attract and retain employers within strategically important development corridors.

5.4 Effects on Job Creation and Workforce Opportunities

The projected increase of approximately 13,033 jobs associated with the Study Area represents a significant opportunity to expand local employment options and reduce dependence on commuting to employment centers outside the City. Planned industrial and commercial development is expected to create jobs across a broad range of skill levels while increasing local income generation and economic activity.

The continuation of dairy operations limits this opportunity by constraining the development of higher-intensity employment-generating uses. While the dairy provides economic value and employment opportunities of its own, its continued presence within a

designated growth area restricts the realization of substantially greater employment potential associated with planned industrial, commercial, and mixed-use development.

This creates a long-term tradeoff between maintaining a relatively low-intensity agricultural use and allowing the development of a broader employment base capable of supporting a larger and more diverse workforce. Over time, that tradeoff may limit local employment opportunities, reduce economic mobility, and constrain efforts to diversify the City's economy.

Conclusion: The initiative limits the City's ability to expand workforce opportunities and achieve planned job growth, particularly in sectors associated with industrial, commercial, and mixed-use development.

5.5 Long-Term Economic Structure and Land Use Efficiency

The General Plan reflects a long-term objective of creating a more balanced, resilient, and diversified local economy. A key component of that strategy is increasing the proportion of land devoted to employment-generating uses while improving the efficiency and productivity of land use throughout the City.

Maintaining dairy operations within a designated growth area is inconsistent with this objective because it allocates strategically located land to a lower-intensity use while limiting the productivity of surrounding parcels. The resulting constraints reduce the overall economic output that could otherwise be achieved through industrial, commercial, and mixed-use development.

From a land use efficiency perspective, employment-generating development typically supports greater job creation, higher economic activity, and stronger fiscal performance than intensive agricultural uses located within an urbanizing area. As a result, the continuation of the dairy represents a long-term constraint on the City's ability to optimize land use for economic benefit.

Conclusion: The initiative limits land use efficiency within a key growth area and constrains the City's ability to achieve its long-term economic development objectives.

5.6 Cumulative Economic Impact

The economic impacts associated with the continuation of dairy operations are cumulative and mutually reinforcing. By constraining industrial and commercial land availability, limiting opportunities for business attraction, reducing employment growth potential, and lowering overall land use productivity, the initiative affects multiple components of the City's economic development strategy simultaneously.

These impacts extend beyond the dairy site itself and influence the broader development potential of the Study Area. As growth opportunities become constrained, the City's ability to realize projected employment growth, diversify its economy, attract investment, and strengthen its fiscal base becomes increasingly limited.

Conclusion: Taken together, the impacts identified above reduce the City's economic development potential, constrain future employment growth, and limit the effectiveness of the City's long-term strategy for expanding and diversifying its economic base.

Summary Finding

The proposed initiative is expected to have a substantial impact on the City's ability to attract and retain business and employment. By limiting the availability of industrial land, constraining the development of key growth areas, and reducing the feasibility of employment-generating uses, the initiative limits the City's ability to realize projected job growth and economic expansion. While the dairy supports ongoing agricultural activity, its continued presence within a designated growth area constrains the substantially greater employment, investment, and economic opportunities anticipated under the City's General Plan and annexation strategy.

6. USE OF VACANT LAND (§9212(a)(6))

Pursuant to Elections Code Section 9212(a)(6), the City has evaluated the proposed initiative's impact on the use of vacant parcels within the City. This analysis focuses on the Study Area and the Study Area, which contain a significant portion of the City's vacant and underutilized land designated for future industrial, commercial, and residential development.

The General Plan and associated annexation studies assume that these areas will transition from existing agricultural or undeveloped conditions to urban uses over time. The continuation of dairy operations within this area has direct implications for whether that transition can occur.

6.1 Current Status of Vacant Land in the Growth Area

The Study Area includes a substantial amount of vacant and underutilized land that is designated for:

- Industrial development (M-1 and M-2 zones)
- Commercial and mixed-use development
- Residential expansion areas

These lands are intended to accommodate a large share of the City's future growth, including housing, employment, and supporting uses. However, despite these designations and the City's long-term planning framework, much of this land remains undeveloped.

The lack of development reflects, in part, the current land use context within the area. Where conditions exist that limit feasibility, investment, or marketability, vacant land may remain unused despite its planned designation.

6.2 Creation of a De Facto Development Constraint Zone

The continuation of dairy operations within the innovation hub/industrial area creates conditions that extend beyond the boundaries of the dairy site and affect surrounding vacant parcels. As discussed in Sections 2 and 3, dairy operations create land use compatibility concerns associated with odor, air quality, nuisance conditions, operational impacts, and environmental considerations.

These effects are not confined to the dairy property itself. Rather, they influence a broader area in which development becomes more difficult, more costly, or less attractive to potential investors and developers. Industrial and commercial users may be reluctant to locate near the operation due to compatibility concerns, while residential and mixed-use development may face increased entitlement challenges, additional mitigation requirements, and reduced marketability.

The practical result is the creation of a de facto development constraint zone in which land designated for development remains vacant not because of zoning restrictions, but because of limitations on development feasibility.

Conclusion: The initiative expands the impact of a single land use into a broader constraint on surrounding vacant land, reducing its practical usability.

6.3 Impacts on Industrial and Commercial Land Utilization

The Study Area includes strategically located industrial and commercial land intended to support economic growth and take advantage of access to Highway 99. Industrial development in particular depends upon compatible surrounding land uses, sufficient parcel size and configuration, and the flexibility to accommodate operations, expansion, and logistics activities.

The presence of a dairy and its associated impacts constrains these conditions and may reduce the attractiveness and viability of nearby parcels for industrial development. As a result, vacant industrial properties may remain underutilized, development may occur at reduced intensity, or projects may be delayed indefinitely due to compatibility and marketability concerns. Over time, this effectively reduces the supply of usable industrial land available to support economic development objectives.

This creates a condition in which land designated for high-value, employment-generating activities does not function as intended within the City's long-term planning framework.

Conclusion: The initiative impairs the utilization of vacant industrial and commercial land by creating conditions that deter development and reduce land use efficiency.

6.4 Impacts on Residential and Mixed-Use Development

The effects on vacant residential and mixed-use parcels are similarly significant. As discussed in Section 3, housing development depends not only on zoning and land use designation but also on practical development feasibility.

Where vacant land is located in proximity to an active dairy operation, development may be delayed or avoided due to compatibility concerns. Additional mitigation measures, project design modifications, and environmental review requirements may increase development costs and reduce project feasibility. These conditions can also affect financing, marketability, and investor confidence, making residential and mixed-use projects more difficult to implement.

The result is a pattern in which parcels designated for future housing or mixed-use development remain undeveloped despite their intended role within the City's growth strategy. Over time, this can affect implementation of the Housing Element and limit the City's ability to achieve its broader development objectives.

Conclusion: The initiative limits the ability of vacant residential and mixed-use parcels to develop as planned, contributing to long-term underutilization.

6.5 Long-Term Effect on Land Use Efficiency

The General Plan is intended to promote efficient land use by directing development to appropriate locations and ensuring that public infrastructure investments support planned growth patterns.

The continuation of dairy operations within a designated growth area limits this objective by preventing the transition of land to higher-intensity urban uses, reducing the effective development capacity of surrounding properties, and creating ongoing barriers to

investment and development. As a result, land that is strategically positioned for future industrial, commercial, residential, or mixed-use development remains underutilized despite substantial public planning and infrastructure investments.

Over time, this contributes to an inefficient land use pattern in which development opportunities are restricted and growth assumptions reflected in the General Plan become increasingly difficult to realize.

Conclusion: The initiative results in inefficient use of land by maintaining conditions that prevent vacant parcels from being developed in accordance with the General Plan.

6.6 Cumulative Impact on Vacant Land

The impacts described above are cumulative. The continuation of dairy operations within the innovation hub/industrial area limits the development potential of nearby vacant parcels, extends compatibility constraints beyond the boundaries of the dairy site, and contributes to the continued underutilization of designated growth areas.

Over time, these impacts reinforce one another. Development may be delayed or discouraged, vacant land may remain unused, and planned growth may not occur at the scale anticipated by the City's planning documents. The resulting pattern creates a long-term constraint on the City's ability to implement its land use, housing, economic development, and infrastructure objectives.

Conclusion: Taken together, the impacts identified above limit the practical development potential of vacant land within the growth area, contribute to the continued underutilization of designated development sites, and constrain the City's ability to implement its planned land use pattern.

Summary Finding

The proposed initiative would have a substantial impact on the use of vacant land within the City. By maintaining a land use that creates compatibility constraints across a broader area, the initiative establishes a de facto development restriction zone that limits the ability of vacant parcels to develop as planned. As a result, land designated for industrial, commercial, residential, and mixed-use development is likely to remain underutilized, undermining the City's General Plan objectives and long-term growth strategy.

7. ENVIRONMENTAL AND COMMUNITY IMPACTS (§9212(a)(7))

Pursuant to Elections Code Section 9212(a)(7), the City has evaluated the potential environmental and community impacts associated with the continuation of dairy operations within the Study Area growth area. This analysis considers impacts to water quality, environmental conditions, and community quality of life, as well as the broader implications of maintaining an intensive agricultural use within a planned urbanizing area.

7.1 Water Quality Impacts and Risk Exposure

Dairy operations involve the generation and management of large quantities of manure and process wastewater, which contain elevated levels of nitrogen, phosphorus, and dissolved salts. As documented in the facility's annual reporting, operations generate substantial volumes of wastewater and associated nutrient loads requiring ongoing land application and management.

While the facility operates under an established regulatory framework, the nature of these operations presents an inherent risk of nutrient migration to groundwater, particularly in regions with permeable soils and shallow groundwater conditions. This concern is reflected in prior monitoring data indicating that nitrate concentrations in groundwater wells associated with the facility exceeded the State's drinking water standard of 10 mg/L as nitrogen.

Elevated nitrate levels represent a well-documented public health concern, particularly for sensitive populations, and are specifically addressed through regional regulatory programs such as the Central Valley Nitrate Control Program. The inclusion of the project area within a broader nitrate management zone reflects existing concerns regarding groundwater quality conditions and the need for coordinated mitigation efforts.

The continuation of dairy operations within this area therefore maintains an existing source of nutrient loading within a basin already identified as requiring active groundwater management. Over time, the persistence of these conditions increases the potential for cumulative degradation of groundwater resources.

Conclusion: Continued operation contributes to ongoing nitrate loading and maintains conditions that pose a long-term risk to groundwater quality and drinking water supplies.

7.2 Flood-Related Environmental Risk

The project site is located within a FEMA-designated flood hazard zone (Zone AH), indicating a 1-percent annual chance of shallow flooding.

Although engineering analysis concludes that the facility meets minimum regulatory requirements for flood protection under a 20-year storm standard, the presence of manure storage, process wastewater, and land application areas within a flood-prone environment presents an inherent environmental risk.

Flood events have the potential to mobilize stored or applied waste materials, resulting in the transport of contaminants beyond the site. The hydrologic connection between the site and regional drainage patterns, including overflow conditions associated with Poso Creek

and the Highway 99 corridor, introduces pathways through which contaminants could reach surrounding lands or water systems.

While regulatory compliance addresses minimum thresholds of protection, it does not eliminate risk under more severe conditions or cumulative storm events.

Conclusion: The combination of flood exposure and agricultural waste management introduces a risk of off-site contamination during storm events, with potential impacts to water quality and surrounding properties.

7.3 Odor and Air Quality Impacts

Dairy operations are associated with persistent odor and emissions generated through manure handling, storage, and land application practices. These conditions are commonly recognized as compatibility concerns when located near urban development and are frequently cited in land use planning analyses involving the transition of agricultural areas to residential, commercial, and mixed-use uses.

While such impacts may be acceptable within an agricultural setting, they are more problematic within a designated urban growth area. Odor conditions can reduce the desirability of nearby residential neighborhoods, limit the enjoyment and use of outdoor spaces, and create ongoing nuisance conditions for adjacent properties and future development projects.

Because odor impacts are influenced by weather conditions, prevailing winds, and operational activities, their effects often extend beyond the boundaries of the site itself and into the surrounding development area.

Conclusion: Continued dairy operations introduce persistent odor impacts that are incompatible with planned urban development and negatively affect quality of life.

7.4 Community Health and Quality of Life Considerations

The environmental conditions associated with dairy operations, including odor, air emissions, and groundwater quality concerns, have direct implications for community health and quality of life. As the City implements its General Plan and urban development expands within the surrounding area, residents and businesses would increasingly be located in proximity to an intensive agricultural operation.

This creates conditions in which nuisance impacts remain ongoing, environmental concerns may affect perceptions of community well-being, and uncertainty regarding compatibility may influence both private investment and property values. Collectively, these conditions run counter to the City's objective of creating a cohesive, livable, and economically productive growth area.

Conclusion: The presence of an incompatible use within the growth area reduces community livability and long-term neighborhood stability.

7.5 Environmental Degradation and Cumulative Impacts

The environmental impacts described above are cumulative in nature. Individually, each impact, water quality risk, odor, and flood exposure, may be considered a manageable condition within a rural agricultural context. However, when these conditions occur within a planned urbanizing area, they reinforce one another and create a broader pattern of environmental constraint.

Continued nutrient loading contributes to ongoing groundwater quality concerns and the potential for long-term degradation of groundwater resources. At the same time, flood exposure increases the risk that contaminants associated with dairy operations may migrate beyond the boundaries of the site during significant storm events. Persistent odor and air quality impacts further affect the compatibility of surrounding lands and reduce the desirability of adjacent residential, commercial, industrial, and mixed-use development.

Taken together, these conditions create cumulative environmental effects that extend beyond the dairy operation itself. The combined influence of groundwater risk, flood-related contamination pathways, and ongoing odor impacts limits the City's ability to transition the area to urban uses consistent with its General Plan and long-term growth objectives. The continuation of the dairy also delays the conversion of land to uses that are typically supported by centralized infrastructure systems and generally result in lower environmental intensity per acre within an urban setting.

Conclusion: The continuation of dairy operations contributes to cumulative environmental impacts that are inconsistent with the City's long-term environmental and land use objectives.

7.6 Overall Environmental and Community Impact Determination

The continuation of dairy operations within the Study Area growth area results in ongoing environmental and community impacts, including:

- Continued nutrient loading and groundwater quality risk
- Exposure to flood-related contamination pathways
- Persistent odor and air quality impacts
- Reduced community livability and compatibility with planned uses

These impacts are not limited to the dairy site itself. They extend into surrounding areas, affecting adjacent vacant land, future residents, and the City's broader growth strategy.

Conclusion: The continuation of dairy operations within the Study Area growth area results in ongoing environmental and community impacts that extend beyond the dairy site itself and affect surrounding properties, future development opportunities, and overall community livability.

Overall Summary of Findings

Based on the analysis conducted pursuant to Elections Code Section 9212, the proposed initiative is expected to result in the following impacts:

The initiative would have a **negative fiscal effect** by reducing the City's ability to realize projected growth in population, employment, and development, limiting tax revenue, reducing development fee recovery, and increasing infrastructure costs due to inefficiencies associated with incompatible land uses.

The initiative is **inconsistent with the City's General Plan**, as it maintains an agricultural use within an area designated for industrial and urban development, thereby conflicting with the City's land use framework, growth strategy, infrastructure planning, and economic development policies.

The initiative would have a **significant impact on housing availability and RHNA compliance** by reducing the feasibility of key Housing Element sites, particularly those intended to accommodate lower-income housing, and creating a material risk that the City may be unable to maintain compliance with State housing law.

The initiative would **impair infrastructure planning and service delivery** by introducing incompatible uses into areas planned for coordinated urban infrastructure systems, increasing costs, reducing efficiency, and limiting the effectiveness of planned investments in water, sewer, drainage, and transportation systems.

The initiative would have a **substantial impact on economic development and employment**, reducing the amount of available industrial land, constraining the development of employment-generating uses, and limiting the City's ability to attract businesses and achieve projected job growth.

The initiative would have a **significant impact on the use of vacant land**, creating a de facto development constraint zone in which designated growth areas remain underutilized due to compatibility constraints, thereby preventing the transition of land to its planned urban uses.

The initiative would result in **adverse environmental and community impacts**, including continued groundwater quality risk, flood-related contamination potential, persistent odor and air quality impacts, and reduced quality of life for residents and businesses within and surrounding the growth area.

The impacts identified in this report arise primarily from the continued operation of an intensive agricultural use within a designated urban growth area and should not be interpreted as a finding that dairy operations are incompatible with agricultural areas or other locations where surrounding land uses are similarly agricultural in nature.

References

The following documents, reports, and regulatory materials were reviewed and relied upon in preparing this analysis.

California Regional Water Quality Control Board, Central Valley Region. (2017). *Waste Discharge Requirements General Order No. R5-2017-0058 for Confined Bovine Feeding Operations.*

California Regional Water Quality Control Board, Central Valley Region. (2019, August 8). *Notice of Applicability for Sherwood Ranch (Order R5-2017-0058).*

California Regional Water Quality Control Board, Central Valley Region. (2021, November 3). *Inspection Report for Sherwood Ranch Feedlot.*

California Regional Water Quality Control Board, Central Valley Region. (2023). *Sherwood Ranch Feedlot Inspection Follow-Up and Compliance Resolution Letter.*

Sherwood Ranch. (2023). *Annual Report for Confined Bovine Feeding Operation (Reporting Period: January 1 – December 31, 2023).*

4 Creeks. (2023, June). *Sherwood Ranch Flood Protection Report (Stamped Engineering Analysis).*

4 Creeks. (2023). *Sherwood Ranch Flood Protection Plan – Information Review Submission.*

Federal Emergency Management Agency (FEMA). (2021). *Flood Insurance Rate Map (FIRM), Zone AH – Project Area.*

Kern County Water Collaborative. (2024, December 30). *Preliminary Management Zone Proposal (Nitrate Control Program – Central Valley Region).*

California State Water Resources Control Board. (2018). *Central Valley Salinity Alternatives for Long-Term Sustainability (CV-SALTS) Program and Nitrate Control Program Framework.*

City of McFarland. (2022). *General Plan.*

City of McFarland. (2023). *Housing Element (2023–2031 Planning Period).*

City of McFarland. (2021). *Annexation Development Impact Fee Study and Infrastructure Analysis.*

The people of the City of McFarland ("City") do ordain as follows:

Section 1. Findings & Declarations and Statement of Purpose.

The people of the City of McFarland find and declare that:

A. In October 2025, a bare majority of the McFarland City Council chose to adopt a proposed initiative measure that requires an existing McFarland feed lot, that has existed on that site for many years, to cease its operations. It did this without notice to the owner of the business and without adequate notice to the public.

B. Worse yet, the Council took this action without any consideration of the financial consequences to the City of adopting the proposed initiative, effectively denying the citizens of McFarland the opportunity to vote.

C. Had the Council conducted a fiscal analysis of the initiative, as permitted by law, it would have learned that the Constitution likely requires the City to compensate the business owner for the forced taking of the business. Indeed, the City has now been sued as a result of the Council's decision.

D. The City may be required to pay millions—if not tens of millions—of dollars in compensation and legal fees, funds the City does not possess. As a result, the City may be forced to increase taxes in order to maintain public services and pay the compensation that the Constitution requires.

E. The initiative adopted by the City also prohibited future operation of feed lots within the City of McFarland. That decision is permissible and does not put the City into financial risk.

F. Therefore, the People of the City of McFarland enact this measure to:
   a. Maintain the prohibition on all future concentrated animal feeding operations (CAFOs) within the City of McFarland.
   b. Repeal the prohibition and phasing out of pre-existing animal feeding operations (CAFOs) that currently operate within the City of McFarland; and
   c. Require operators of such pre-existing CAFOs to annually certify compliance with all applicable state and federal laws and regulations.

Section 2. Section 17.200.060 of Chapter 17.200 of Title 17 of the McFarland Municipal Code is amended (text deleted is denoted in ~~strikeout type~~ and text added is denoted in *italicized type*) to read:

17.200.60 ~~Existing CAFOs; Phase-Out Period~~ *Pre-Existing CAFOs.*

1. ~~Notwithstanding anything in this Section, Pre-Existing CAFOs shall be deemed a nonconforming use and shall be required to register on a public database maintained by the City of McFarland.~~ *Nothing in this Chapter shall prohibit a person from operating, or maintaining a Pre-Existing CAFO within the City of McFarland. The*

City shall require the operator of a pre-existing CAFO to annually certify its compliance with all state and federal requirements imposed on such an operator.

~~2. Pre-Existing CAFOs shall be given a phase-out period of no more than twenty-four (24) months from the effective date of this Section to terminate their operations. Proof of this shall be provided to the City of McFarland prior to the end of the phase-out period. During the phase-out period, Pre-Existing CAFOs shall not increase the number of animals in confinement.~~

~~3. The City Manager or his/her designee shall inspect closed CAFOs within one month of receiving such proof of termination from a Pre-Existing CAFO to ensure that all relevant operations have ceased or been appropriately terminated.~~

~~4. Any Pre-Existing CAFO may apply to the City of McFarland for ninety (90) day extensions beyond the phase-out period identified in section E-2, provided that no more than two (2) extension periods are granted. The extensions would be in the form of a Conditional Use Permit and would include plans and phases for the termination of the pre-existing CAFO and may include the payment of exactions as determined by the City Council.~~

Section 3. Section 17.200.070 of Chapter 17.200 of Title 17 of the McFarland Municipal Code is amended (text deleted is denoted in ~~strikeout type~~ and text added is denoted in *italicized type*) to read:

17.200.070 Violations.

1. Any person ~~who continues to operate a Pre-Existing CAFO after the one (1) year phase-out period elapses (or any extension as provided in E4), or~~ who establishes ~~or maintains~~ a CAFO following the enactment of this Section, or who violates any other provision of this Section, shall be subject to a civil penalty of one thousand dollars ($1,000) for the first offense, five thousand dollars ($5,000) for the second offense, and ten thousand dollars ($10,000) for the third and any subsequent offenses, payable to the City of McFarland General Fund.
2. Notwithstanding the foregoing, the City Manager or his/her designee may also pursue on behalf of the city any other civil or administrative penalty or remedy otherwise available for failure to comply with the requirements of this Section.
3. Each day, or portion thereof, during which the violation occurs shall be treated as a separate offense.
4. Nothing herein shall impact the standing of other interested parties, or the availability of remedies under other applicable federal, state and local laws, regulations and ordinances, including the remedies afforded by any person set forth in Subsection I of this Ordinance.
5. For the purposes of this Subsection (F), "person" includes any owner, officer, or director of a CAFO. No penalties shall be issued to individuals solely for working at a CAFO operation unless they also meet one of the foregoing criteria.

Section 4. Section 17.200.080 of Chapter 17.200 of Title 17 of the McFarland Municipal Code is amended (text deleted is denoted in ~~strikeout type~~ and text added is denoted in *italicized type*) to read:

17.200.80 Annual Report.

The City Manager or his/her designee shall prepare an annual report containing the following information: the number of CAFOs currently operating in City of McFarland~~; the number of CAFO termination notices received in the previous year; the number of CAFO termination inspections conducted in the previous year; the number of CAFO workers in the retraining program;~~ *the City required a certification pursuant to section 17.200.060;* and the amount of penalties assessed and collected in the previous year. Such report shall be presented to the City Council at a duly-noticed public hearing and posted on the City's webpage, beginning one year after the effective date of this Section ~~and continuing until all CAFOs, as defined herein, have been phased out of the City~~.

Section 5. Effective Date.

This Initiative shall be binding and effective as of the earliest date allowed by law.

Section 6. Severability.

If any section, subsection, sentence, phrase, or clause of this Initiative is declared invalid by a court of competent jurisdiction, the remaining sections, subsections, sentences, phrases, and clauses shall remain valid and enforceable. The voters declare that they would have passed all sections, subsections, sentences, phrases, and clauses of this initiative without this section, subsection, phrase, or clause declared invalid by a court of competent jurisdiction.

Section 7. Conflicts with State and Federal Law.

The provisions of this Initiative shall not apply to the extent they violate state or federal laws. This Initiative shall not be applied in a manner that would result in an unconstitutional taking of private property.

Section 8. Relationship to City's Municipal Code.

If any provision of this Initiative conflicts with the provisions contained in the City's Municipal Code, the provisions of the Initiative ordinance shall supersede any other conflicting provision.